

SECURITY FOR ONLINE BANK TRANSACTIONS

Banks provide extensive security measures to their customers. The following describes some of the safeguards provided.

Customers accessing a bank system online must go through encryption provided by SSL (Secure Socket Layer) and digital certificate verification. The verification process assures users each time they sign on that they are indeed connected to their specific bank. The customer inquiry message then goes through an external firewall. Once the logon screen is reached, a user ID and a password are required. This information flows through a direct Web server and then goes through an internal firewall to the bank's application server.

Information is shared among a bank's business partners only for legitimate business purposes. Banks do not capture information provided by customers when conducting hypothetical scenarios using planning tools (to ensure privacy). Many banks use cookies to learn about their customers; however, customers can control both the collection and in some cases the use of such information. In addition, most banks provide suggestions on how users can increase security (e.g., by using a browser that supports 128-bit encryption).

With the increased use of mobile devices, the threat of security risks has increased. Banks are creating innovative solutions. For example, in January 2009, Bank of America introduced "SafePass," a feature that can generate a six-digit, one-time passcode that is necessary to complete an online transaction. The passcode is delivered via text message to your mobile device. (See bankofamerica.com/privacy/online-mobilebanking-privacy/safepass.go .) A similar device is offered by other financial institutions.

Sources : Based on the authors' consulting experiences and from the various security statements of online banking websites, including co-operativebank.co.uk/internetbanking and anz.com/auxiliary/help/help/website-securityprivacy (both accessed May 2014). For more information on the safe use of Internet banking, see fdic.gov/bank/individual/online/safe.html .

Questions

1. Why is security so important for a bank?
2. Why is there a need for two firewalls?
3. Who is protected by the bank's security system – the customer, the bank, or both?
4. What might be the limitations of such a security system?